Practice workbook · Why businesses carry out market research

Why businesses research markets: understanding customer needs, finding gaps, reducing risk and informing decisions.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S4-02

1. Question 2 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

2 *TADS* is looking to expand by offering lessons in other musical instruments.

(a) State **one** reason why this could lead to the business failure of *TADS*.

(1)

(b) State **one** benefit to *TADS* of using casual staff to teach music lessons.

(1)

(c) Explain **one** purpose of market research for a business.

(3)

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1. Question 2 · part c · 3 marks

2020 NOV · Paper 01

Worked-example retry · Attempt part c only.

(d) Explain **one** way to measure the success of a business.

(3)

(e) Explain **one** impact of an increase in interest rates on a business.

(3)

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1. Question 2 · part c · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.iii only.

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1 *Tata Motor Company* began trading in 1868, and is now part of a large group of companies that is estimated to be worth $100 billion. *Tata Motor Company* manufactures a wide range of cars, buses and trucks. It is India's largest maker of vehicles with manufacturing centres in many countries including Korea, Italy and the UK.

One of the main aims of *Tata Motor Company* is to produce goods that the public want and need. It is currently working on electric cars that are more environmentally friendly. *Tata Motor Company* plays an active role in community development such as building schools, houses and investing in the health and welfare of local people.

(Source adapted from: https://www.tatamotors.com/about-us/)

(a) (i) Which **one** of the following is an external source of finance?

(1)

- ☒ **A** Retained profit
- ☒ **B** Selling assets
- ☒ **C** Sales revenue
- ☒ **D** Share capital

(ii) Which **one** of the following forms of discrimination is covered by legislation?

(1)

- ☒ **A** Ability
- ☒ **B** Age
- ☒ **C** Ethical
- ☒ **D** Political

(iii) Which **one** of the following could be used to gather data for a business?

(1)

- ☒ **A** Market research
- ☒ **B** Market orientation
- ☒ **C** Market segmentation
- ☒ **D** Market place

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2. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 02

Further practice · Attempt part a.iii only.

(iv) In a break-even graph, the break-even point is when:

(1)

- ☒ **A** total costs and fixed costs are the same
- ☒ **B** fixed costs and variable costs are the same
- ☒ **C** total costs and revenue are the same
- ☒ **D** fixed costs and revenue are the same

Figure 1 gives details of one of the many suppliers of tyres to *Tata Motor Company*.

Production each month	2,400
Average price per tyre	€27
Variable costs per tyre	€12
Fixed costs per month	€6 000

Figure 1

(v) What are the monthly total costs for the business?

(1)

- ☒ **A** €8 412
- ☒ **B** €34 800
- ☒ **C** €74 400
- ☒ **D** €204 000

A customer in Germany wishes to buy a Tata Nano car from India. The cost of this vehicle is 465 000 Indian Rupees (RS). The exchange rate is €1.00 = RS78

(vi) What would the German customer pay to the nearest euro for the car?

(1)

- ☒ **A** €3 621
- ☒ **B** €4 650
- ☒ **C** €5 962
- ☒ **D** €36 270

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2. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

2 *HRMW* carries out market research on a regular basis.

(a) State **one** function that human resources at *HRMW* would carry out.

(1)

(b) State **one** reason why *HRMW* carries out market research.

(1)

(c) Explain **one** benefit of using penetration pricing for a new product.

(3)

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

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(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

Rabanne has promotional offers to encourage customers to buy its perfumes and aftershaves.

A customer buying Pour Homme and Lady Million together will receive a 12% promotional discount.

Pour Homme is priced at £85.00 (GBP) and Lady Million is priced £86.00 (GBP).

(iii) Which **one** of the following is the price of buying both items with the promotional discount?

Select **one** answer.

(1)

- ☒ **A** £129.65
- ☒ **B** £150.48
- ☒ **C** £160.80
- ☒ **D** £171.00

(iv) Which **one** of the following is an advantage of primary market research?

Select **one** answer.

(1)

- ☒ **A** It is cheaper than other types of market research
- ☒ **B** It is less time-consuming than secondary research
- ☒ **C** It is more up to date method of research
- ☒ **D** It is only carried out by market-research agencies

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4. Question 1 · part d · 1 mark

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Further practice · Attempt part d only.

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Figure 1 shows the monthly cash flow information for a business.

Opening balance	€76 000
Cash inflow	€54 000
Cash outflow	€34 000

Figure 1

(v) Which **one** of the following is the closing balance for this month?

Select **one** answer.

(1)

- ☒ **A** € 88 000
- ☒ **B** € 96 000
- ☒ **C** €110 000
- ☒ **D** €130 000

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An American bank's interest rates have changed from 4.5% to 6.0%.

(vi) Which **one** of the following is a likely effect of this change for American businesses?

Select **one** answer.

(1)

- ☒ **A** Higher loan repayments
- ☒ **B** Decrease in labour costs
- ☒ **C** Improved net cash flow
- ☒ **D** Increase in sales

(b) Define the term **autonomy**.

(1)

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(c) Define the term **qualitative data**.

(1)

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4. Question 1 · part d · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(d) State **one** reason why *Rabanne* may use test marketing when introducing a new product.

(1)

In Europe a *Rabanne* handbag costs €1 590.00 (euro).

The exchange rate is €0.93 = $1.00

(e) Calculate, to two decimal places, the price of the handbag in US dollars. You are advised to show your working.

(2)

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(f) Explain **one** reason why an employer might use a letter to communicate with an employee.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 2 · part d · 3 marks

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Further practice · Attempt part d only.

2 (a) State **one** method *Irsi Chocolatier* could use to improve its competitive position.

(1)

(b) State **one** way *Irsi Chocolatier* might extend the life cycle of one of its products.

(1)

(c) Explain **one** way a business could use e-newsletters.

(3)

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5. Question 2 · part d · 3 marks

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Further practice · Attempt part d only.

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(d) Explain **one** way a business could use market research information.

(3)

(e) Explain **one** benefit to a business that has a decentralised organisational structure.

(3)

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5. Question 2 · part d · 3 marks · Working and answer

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6. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

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4 **Figure 3** shows an extract from a statement of financial income.

	$ (US Dollars)
Revenue	218 000
Gross profit	112 000
Other operating expenses	94 000

Figure 3

(a) Calculate, to **two** decimal places, the operating profit margin. You are advised to show your workings.

(2)

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6. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

(b) Analyse the purpose of market research for *Samsung*.

(6)

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6. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

Samsung has factories in 74 countries and employs 270,000 people. It has a centralised organisation structure. Its head office is in Seoul, South Korea where major decisions on production, design and marketing are made.

(c) Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business.

(12)

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6. Question 4 · part b · 6 marks · Working and answer

Working and answer

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

4 *Huawei* has to maintain the quality of its products to be able to compete with other businesses, as well as generating profit. It must also ensure that the products it produces meet the needs of its customers as well as introducing new and different forms of technology. On its website it states '*Huawei* are committed to bringing digital to every person, home and organisation for a fully connected, intelligent world'.

In January 2019 *Huawei* launched the *Huawei* 10 Pro smartphone in the US at a cost of 5 353 Renminbi (CNY).

The exchange rate was $1 = 6.70 CNY (Chinese Yuan Renminbi)

(a) Calculate the cost of this smartphone in US Dollars. You are advised to show your working.

(2)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

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(b) Analyse why *Huawei* would want good quality control when producing its smartphones.

(6)

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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.

(c) Evaluate why *Huawei* would carry out market research before designing a new product. You should use the information provided as well as your own knowledge of business.

(12)

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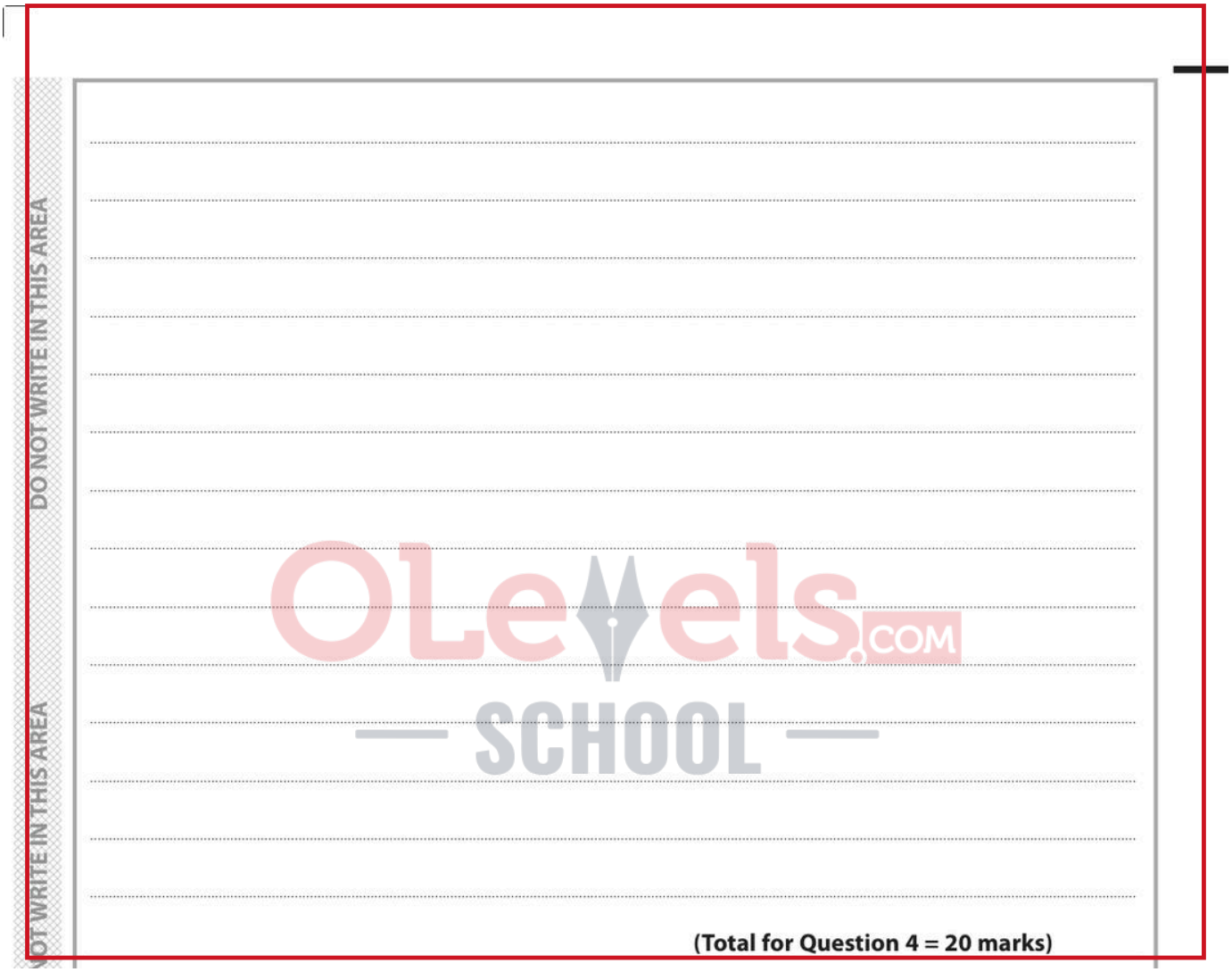
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7. Question 4 · part c · 12 marks

2021 NOV · Paper 02

Further practice · Attempt part c only.



7. Question 4 · part c · 12 marks · Working and answer

Working and answer

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

4 *Starbucks* aims to be more than just a coffee shop. It celebrates the tradition of coffee and focuses on building a strong connection between its employees and customers. *Starbucks* has a passion for high-quality coffee and is dedicated to creating a fulfilling and enjoyable coffee shop experience for everyone.

All employees have a partner card which means they get a 30% discount on all food and drinks.

An employee purchases a meal deal costing €15.50 (euros).

(a) Calculate, to two decimal places, the cost of the meal with the employee's discount. You are advised to show your working.

(2)

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8. Question 4 · part c · 12 marks

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(b) Analyse why *Starbucks* thinks it is important to interview candidates that have applied for a job with them.

(6)

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8. Question 4 · part c · 12 marks

2025 JUN · Paper 02

Further practice · Attempt part c only.

Before introducing new products to all of its coffee shops *Starbucks* carries out product trials.

(c) Evaluate why *Starbucks* carries out product trials that might reduce the risks from introducing new products. You should use the information provided as well as your own knowledge of business.

(12)

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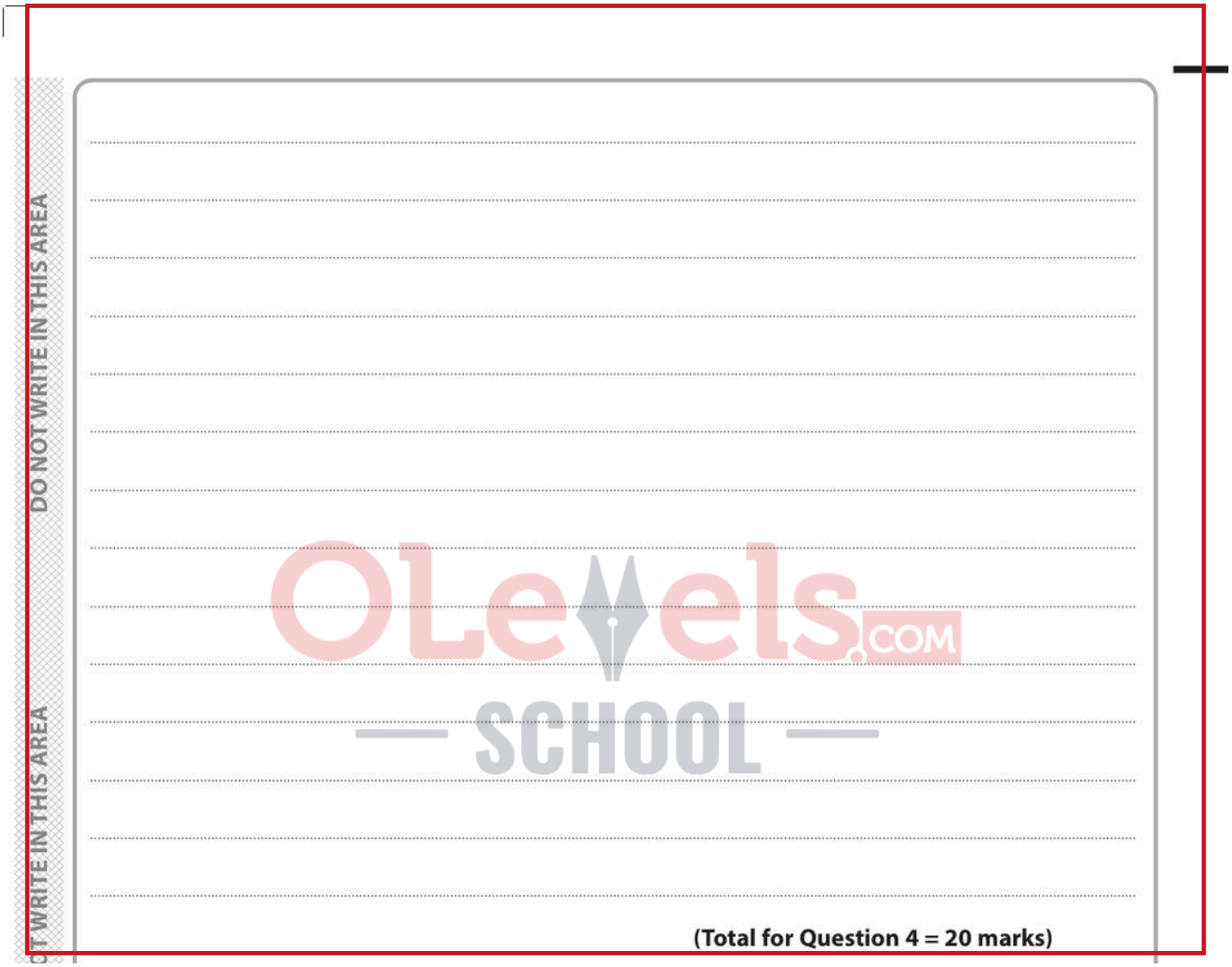
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8. Question 4 · part c · 12 marks

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Further practice · Attempt part c only.



8. Question 4 · part c · 12 marks · Working and answer

Working and answer

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